
Contract Interpretation Memorandum — Retention and Variations

Nandira River Bridge Project — Package NRB-4

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From:	Meridian Engineering Consultants, Contracts Section
To:	Project File
CC:	National Highways Infrastructure Authority

Subject: Contract Interpretation — Application of Retention to Variation Values

1. QUESTION: Whether the value of a Variation, once instructed under Sub-Clause 13.1 and valued under Sub-Clause 13.3, forms part of the base to which Retention under Contract Data Section 6 applies, as raised in Commercial Notice CTR-NRB4-0091.

2. CONTRACTUAL PROVISIONS CONSIDERED:

- Sub-Clause 13.3 provides that the value of a Variation, once agreed or determined, is to be included in the amount certified as due to the Contractor. It establishes no separate payment mechanism outside Sub-Clause 14.3 and no distinct treatment for Retention purposes.
- Sub-Clause 14.3 governs the Contractor's Statement and the amount to be certified, without distinguishing the source of the value comprising that amount (original Bill of Quantities items, re-measured items, or Variations).
- Contract Data Section 6 states Retention at 5 per cent "of each amount otherwise due," without qualification or carve-out for any category of work.
- Particular Conditions Part E (Variation approval threshold and response time) addresses procedural matters — authority to approve a Variation and the period for response — and contains no provision regarding Retention or payment mechanics.

3. ANALYSIS: There is no basis in the General Conditions, Particular Conditions, or Contract Data for treating a Variation's value as falling outside "each amount otherwise due" for Retention purposes. The Contractor's characterisation of Variation VO-NRB4-004 as a "reimbursement" rather than "value of work executed" does not alter its contractual treatment: Sub-Clause 13.3 values it, and Sub-Clause 14.3 certifies it, in the same manner as any other item comprising the amount due. The origin or cause of a Variation (whether an Employer instruction, an unforeseen condition, or otherwise) has no bearing on how its value is treated once certified.

4. CONCLUSION: The value of Variation VO-NRB4-004 is properly included in the Retention base, and the calculation in IPC-NRB4-011 reflects the correct application of Contract Data Section 6. No basis exists to exclude it.

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